

June 2020

Category review: Chips

Trial store rollout & customer growth strategy



Executive summary

Recommendation: Roll the trial initiative out to comparable stores and concentrate range, pack and promotional effort on the three customer segments that drive chip sales.

01

Task 1 · Category & customers

- Three segments — Budget Older Families, Mainstream Young Singles/Couples and Mainstream Retirees — generate the largest share of category sales.
- Kettle dominates the brand mix and 175g is the most-purchased pack size, signalling where to focus range and promotions.

02

Task 2 · Trial performance

- All three trial stores beat their matched control stores during the trial window: +29.1%, +9.8% and +10.4% in sales.
- Growth was driven mainly by attracting more customers, not by discounting — a repeatable, profitable lever.

01

Category & customer insight

A concentrated set of segments drives the category

Older Families

BUDGET

Largest single contributor to chip sales

Young Singles/Couples

MAINSTREAM

High volume, brand-led shoppers

Retirees

MAINSTREAM

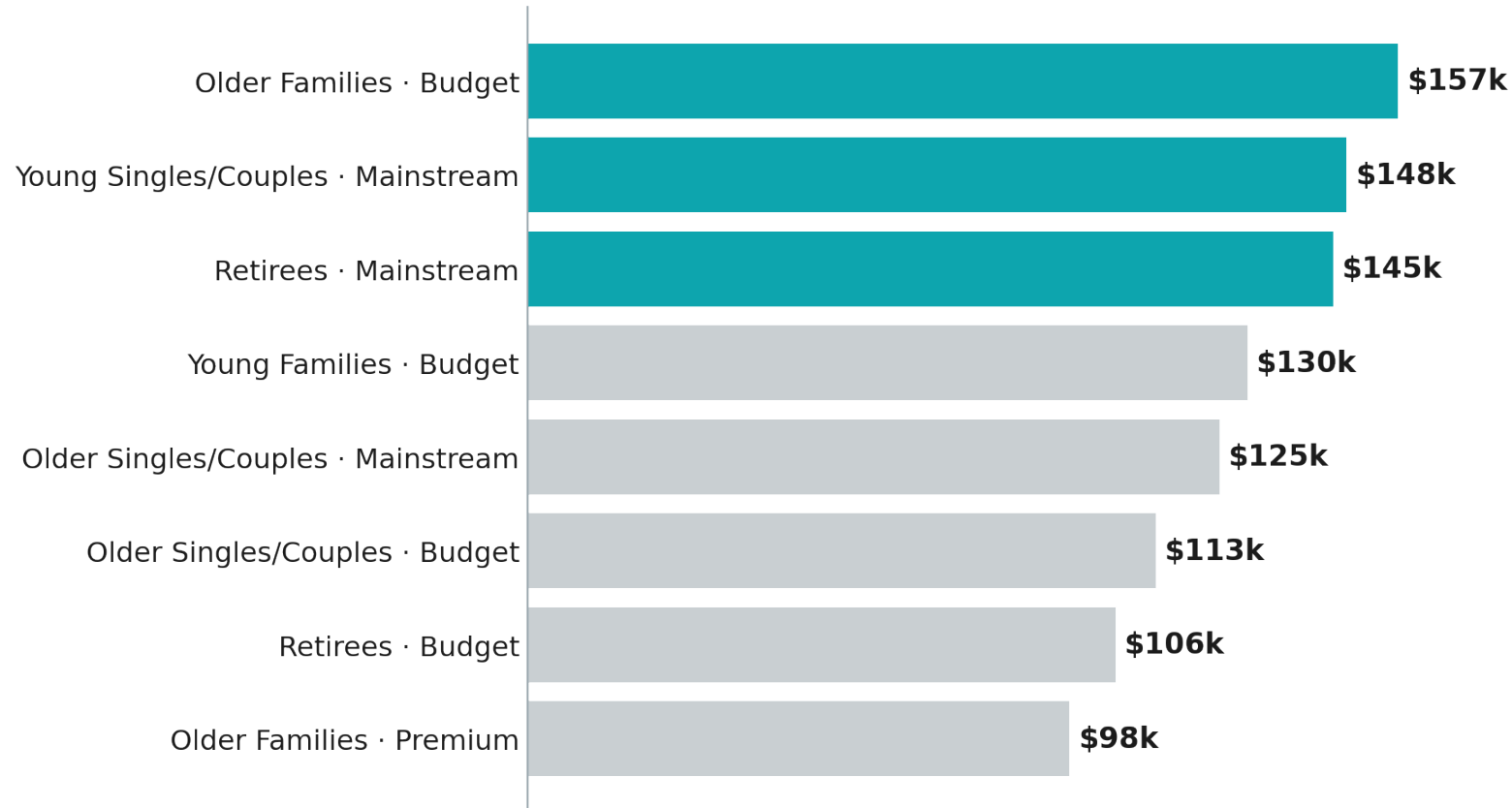
Steady, loyal repeat buyers

Why it matters

Targeting marketing and range decisions at these three segments reaches the bulk of category spend with the least wasted effort. They should anchor the next-half strategic plan.

Three segments account for the top of the sales ranking

Total chip sales by customer segment (life stage × affluence)



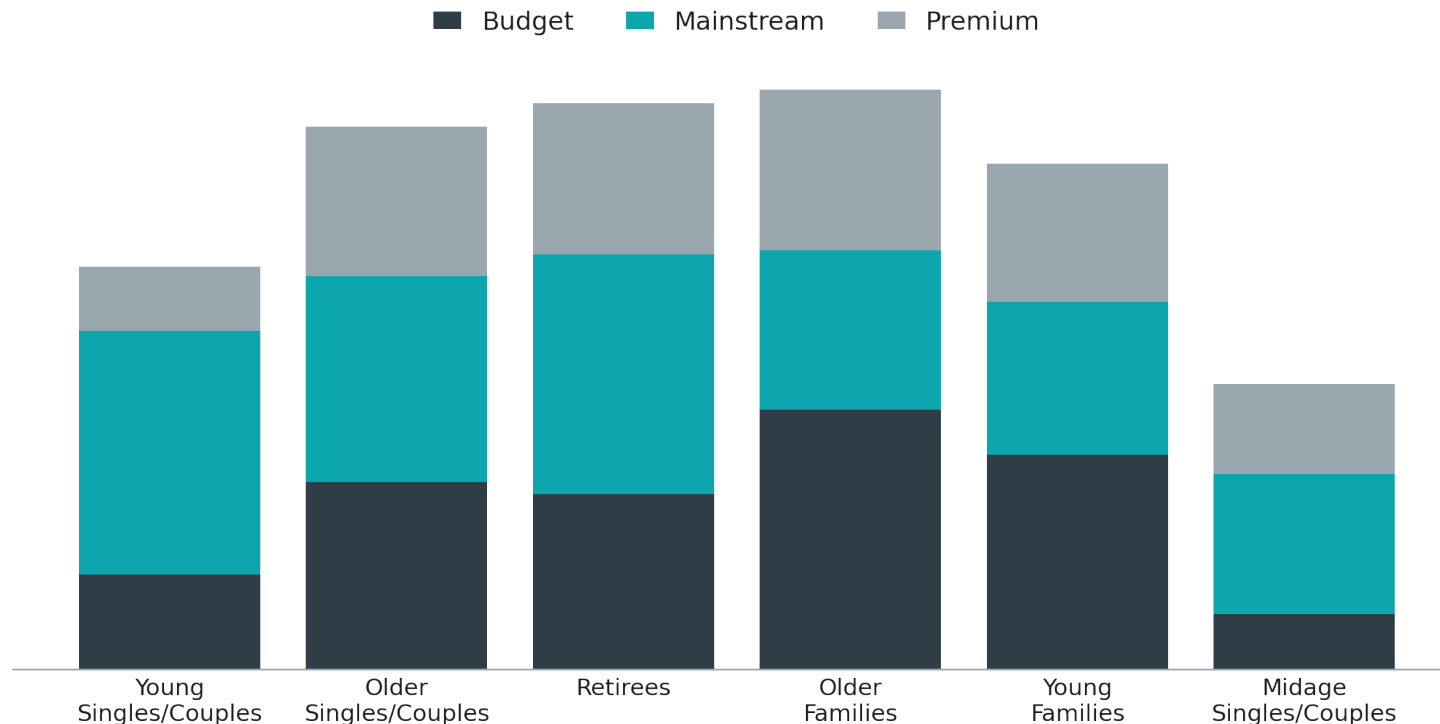
KEY CALLOUT

The top 3 segments each contribute roughly **\$145k–\$157k** — well clear of the rest of the field.

Focus here first when planning promotions and shelf space.

Affluence shapes what each life stage buys

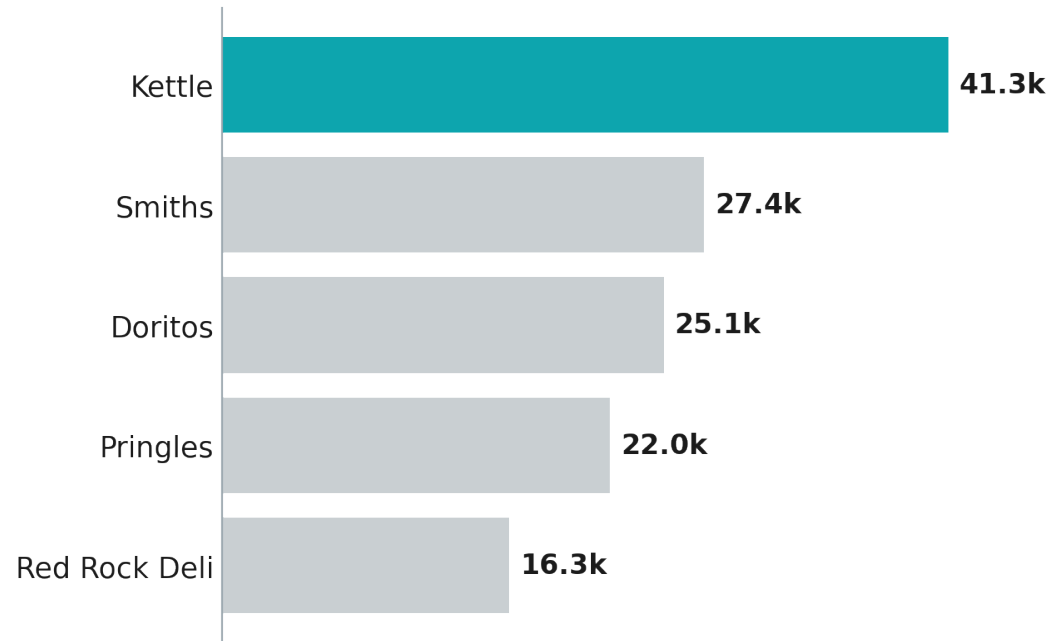
Total sales by life stage, split by affluence tier



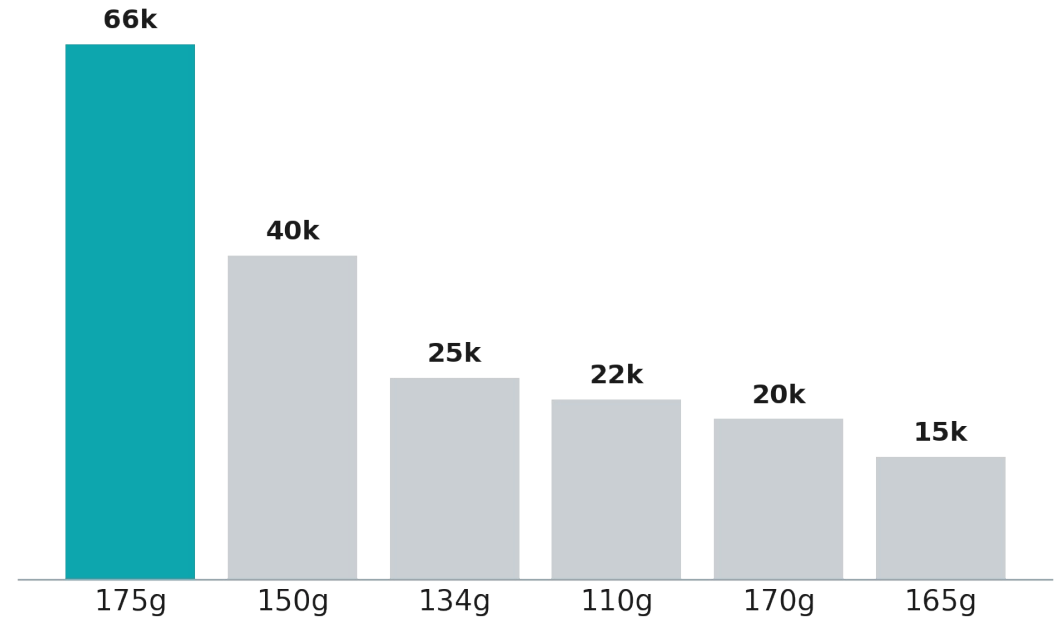
- **Mainstream younger shoppers**
Young Singles/Couples and Retirees skew strongly Mainstream — open to brands and premium flavours.
- **Budget families**
Older and Young Families are led by Budget spend — value packs and multi-buys resonate.
- **Implication**
Tailor the offer by tier: branded range for mainstream youth, value for price-led families.

Kettle and the 175g pack lead the category

Top brands by units purchased



Top pack sizes by units purchased



So what: Secure Kettle availability and prioritise 175g facings — the combination that most shoppers reach for.

02

Trial store performance

Each trial store was matched to a like-for-like control

Control stores were selected for the closest pre-trial match on sales, customer counts and transactions per customer.

Trial
Store
77 → **Control**
Store
233

Matched on pre-trial sales, customers & spend per visit

Trial
Store
86 → **Control**
Store
155

Matched on pre-trial sales, customers & spend per visit

Trial
Store
88 → **Control**
Store
40

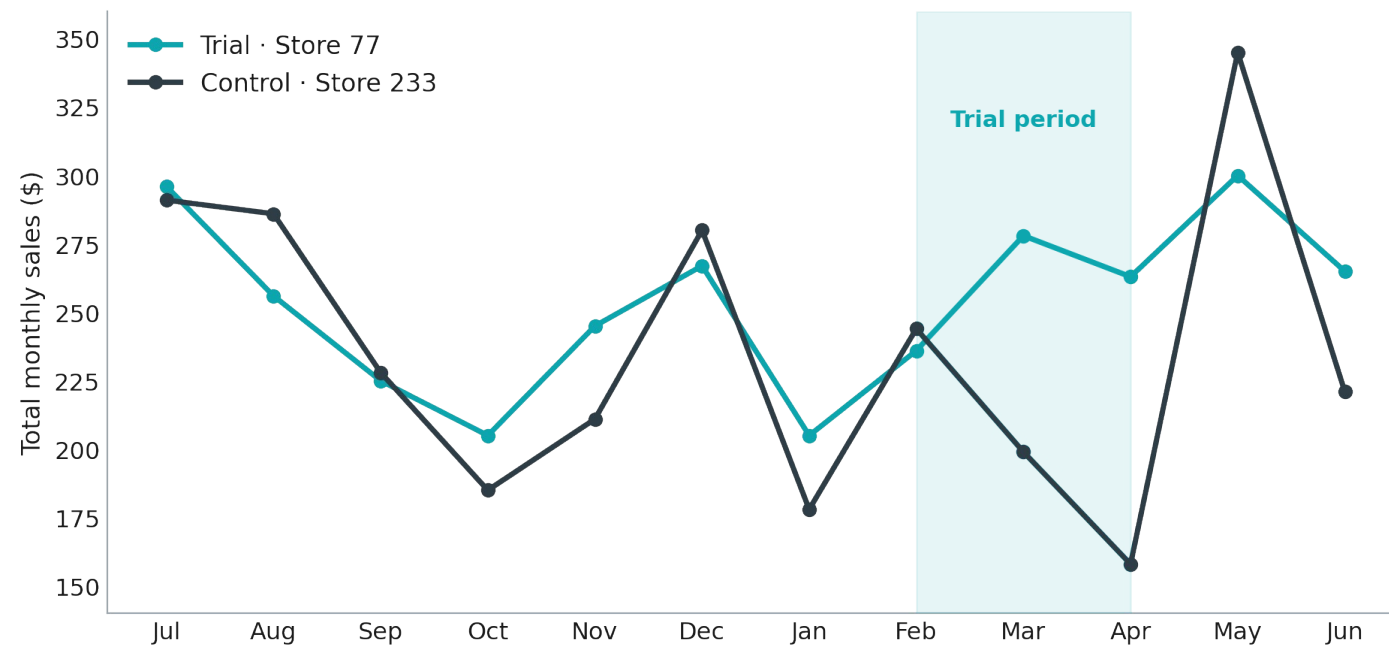
Matched on pre-trial sales, customers & spend per visit

Why a control store?

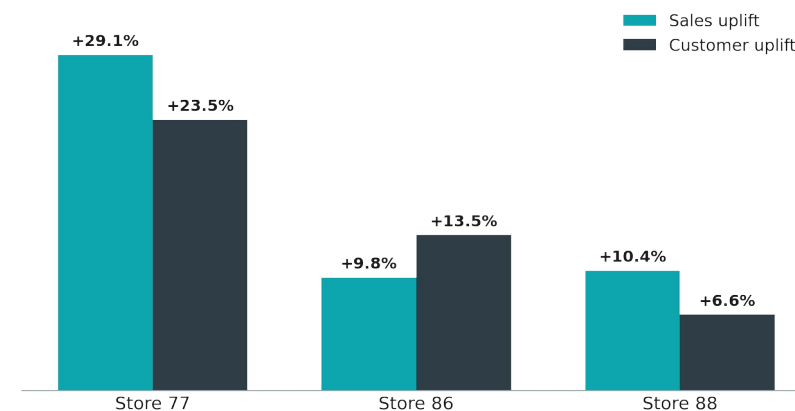
Comparing each trial store to a near-identical store that did NOT run the trial isolates the trial's true effect from seasonality and market-wide trends — so any difference can be credited to the initiative itself.

The trial lifted sales above every control store

Store 77 vs control — sales pull clear during the trial window



Uplift vs control during the trial



+29.1% best result
Store 77 — led by a +23.5% rise in customers

Verdict: All three stores outperformed control. Growth came chiefly from more customers, not deeper discounts — the trial is successful and worth scaling.

Recommendations & next steps

01

Roll out the trial

Extend the initiative to stores that resemble 77, 86 and 88, prioritising those serving the top three customer segments.

02

Target the high-value segments

Build the next-half plan around Budget Older Families and Mainstream Young Singles/Couples & Retirees.

03

Lead with Kettle & 175g

Protect availability and shelf space for the brand and pack size shoppers reach for most.

04

Measure & refine

Keep the control-store framework to track rollout impact and confirm gains are sustained before full scale-up.